

TENTATIVE RULINGS

DEPARTMENT C33

Judge Sandy N. Leal

July 11, 2024 at 10:00 a.m.

Civil Court Reporters: The Court does not provide court reporters for law and motion hearings. Please see the Court's website for rules and procedures for court reporters obtained by the Parties.

Tentative rulings: The Court endeavors to post tentative rulings on the Court's website in the morning, prior to the hearing. However, ongoing proceedings such as jury trials may prevent posting by that time. Tentative rulings may not be posted in every case. Please do not call the Department for tentative rulings if tentative rulings have not been posted. The Court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5233. Please do not call the Department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the Court's signature if appropriate under Cal. R. Ct. 3.1312.

Non-appearances: If nobody appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.*, 205 Cal.App.4th 436, 442, fn. 1 (2012.))

Appearances: Department C33 conducts non-evidentiary proceedings, such as law and motion hearings, remotely by Zoom videoconference pursuant to Code of Civil Procedure section 367.75 and Orange County Local Rule 375. Any party or attorney, however, may appear in person by coming to Department C33 at the Central Justice Center, located at 700 Civic Center Drive West in Santa Ana, California.

All counsel and self-represented parties appearing in-person must check in with the courtroom clerk or courtroom attendant before the designated hearing time. All counsel and self-represented parties appearing remotely must check-in online through the court's civil video appearance website at <https://www.occourts.org/media-relations/civil.html> before the designated hearing time. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Participants will initially be directed to a virtual waiting room pending the start of their specific video hearing. Check-in instructions and instructional video are available at <https://www.occourts.org/media-relations/aci.html>. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" and "Guidelines for Remote Appearances" also are available at <https://www.occourts.org/media-relations/aci.html>. Those procedures and guidelines will be strictly enforced.

Public Access: The courtroom remains open for all evidentiary and non-evidentiary proceedings. Members of the media or public may obtain access to law and motion hearings in this Department by either coming to the Department at the designated hearing time or contacting the Courtroom Clerk at (657) 622-5233 to obtain login information. For remote appearances by the media or public, please contact the Courtroom Clerk 24 hours in advance so as not to interrupt the hearings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

#	Case Name	Tentative
1	23-01321154 <i>Balboa Capital Corporation vs. Anne M. Cummings, M.D.</i>	Claim of Exemption – Levy The hearing regarding Judgment Debtor Anne M. Cummings, M.D., a Medical Corporation’s Claim of Exemption is CONTINUED to August 15, 2024 at 10:00 a.m. The parties are ordered to file and serve supplemental briefs as set out below. The Court continues the hearing under Code of Civil Procedure section 703.580(c), which states: “The claim of exemption is deemed controverted by the notice of opposition to the claim of exemption and both shall be received in evidence. If no other evidence is offered, the court, if satisfied that sufficient facts are shown by the claim of exemption (including the financial statement if one is required) and the notice of opposition, may make its determination thereon. If not satisfied, the court shall order the hearing continued for the production of other evidence, oral or documentary.” Judgment Debtor claims an exemption for “[m]oney in accounts for individually-held and corporate-held accounts,” citing Code of Civil Procedure section 704.220. Judgment Debtor fails to adequately explain why the cited legal authority requires an exemption in this case. Judgment Debtor also does not state the precise amount it claims is exempt. Judgment Debtor shall file and serve a supplemental brief in support of the claim of exemption, no longer than five pages, no later than July 26, 2024. Judgment Debtor’s brief shall set out the exact amount it claims is exempt and explain why the amount is exempt under applicable legal authority. In its opposition, Plaintiff states, “Under CCP § 703.020(a), exemptions apply only to property of a natural person. Thus, the statement, ‘there should be separate exemptions for each’ is inaccurate because judgment debtor ‘ANNE M. CUMMINGS, M.D., A MEDICAL CORPORATION, a California corporation’ is a corporation and exemptions do not apply.” Plaintiff’s opposition is also insufficient to allow the Court to determine the validity of the claim of exemption. Plaintiff shall file and serve a supplemental brief, not to exceed five pages and including citations to applicable legal authority, no later than August 2, 2024. Therefore, the Court finds there is good cause to continue the hearing. (Code Civ. Proc. § 703.570(a).) To the extent any property claimed to be exempt is being held at this time, it is ordered not to be released until after the Court issues an order at the continued hearing. (Code Civ. Proc. § 703.580(f).) Judgment Creditor to give notice.

2	23-01352379 <i>Balboa Capital Corporation vs. International Multiple Services LLC</i>	Motion to Set Aside/Vacate Default and Judgement Motion to Set Aside Default and Default Judgment Defendant Magda Quesada (“Defendant”) moves to set aside the Default entered on January 5, 2024 and the Default Judgment entered on March 6, 2024. For the following reasons, Defendant’s motion is DENIED without prejudice. Procedural Requirements for a Motion Brought Pursuant to Code of Civil Procedure Section 473, Subdivision (b) Code of Civil Procedure Section 473(b) provides that: “The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect.” An application under section 473(b) shall be accompanied by a copy of the answer or other pleading proposed to be filed therein; and be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken. (Code Civ. Proc., § 473, subd. (b).) Defendant Quesada did not file the required proposed pleading. Although it appears that she intended to attach a proposed answer as Exhibit A, the attachment was not included in the filing. (See ROA # 107.) Defendant Quesada has not complied with the procedural requirements of this motion. Motion Set Aside Default and/or Default Judgment The Civil Procedure Code authorizes the court to “relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect.” (Code Civ. Proc., § 473, subd. (b).) The requirement that the judgment or order have been entered through “inadvertence, surprise, excusable neglect, or mistake” is “not meaningless, and the party requesting such relief must affirmatively show that the situation is one which clearly falls within such category.” (<i>In re Wolper’s Estate</i> (1956) 146 Cal.App.2d 249, 251.) In a motion to set aside a default judgment or order under section 473(b), the initial burden is on the moving party to prove excusable neglect by a “preponderance of the evidence.” (<i>Kendall v. Baker</i> (1988) 197 Cal.App.3d 619, 624.) Here, Defendant has not met her burden to show that the Default and Default Judgment were entered as a result of mistake, inadvertence, surprise, or excusable neglect. Defendant did not submit any evidence in support of her motion and, thus, did not prove mistake, inadvertence,
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surprise, or excusable neglect by a preponderance of the evidence. The motion is denied without prejudice.

Motion to Quash Service of Summons and Complaint

Improper or invalid service is properly challenged by a motion to quash. (*Board of Supervisors v. Superior Court* (1994) 23 Cal.App.4th 830, 855, fn. 4; Code Civ. Proc., § 418.10, subd. (a)(1).)

When a defendant moves to quash service, the burden is on the plaintiff to establish jurisdiction by a preponderance of the evidence. (*School Dist. of Okaloosa County v. Superior Court* (1997) 58 Cal.App.4th 1126, 1131.) However, this burden shifts when a properly executed proof of service has been filed. Filing a proof of service that complies with the applicable statutory standards creates a rebuttable presumption that service was proper. (*Floveyor Int'l, Ltd. v. Superior Court* (1997) 59 Cal.App.4th 789, 795; *American Exp. Centurion Bank v. Zara* (2011) 199 Cal.App.4th 383, 390.)

The California Supreme Court has adopted a “liberal construction” of California statutes governing service of process. (*Pasadena Medi–Center Associates v. Superior Court* (1973) 9 Cal.3d 773, 778; *Summers v. McClanahan* (2006) 140 Cal.App.4th 403, 410.) So long as the defendant receives actual notice of the lawsuit, substantial compliance with the California statutes governing service of summons generally will be held sufficient. (*Pasadena Medi–Center*, 9 Cal.3d at 778; *Gibble v. Car–Lene Research, Inc.* (1998) 67 Cal.App.4th 295, 313; *Dill v. Barquist Construction Co.* (1994) 24 Cal.App.4th 1426, 1436–1437.)

Plaintiff has filed a properly executed Proof of Service showing service of the Summons and Complaint on Defendant Quesada via substitute service. (ROA # 11.) Timothy Pinney, a registered process server, declares under penalty of perjury that he served papers by leaving the documents with Defendant Quesada’s husband and co-occupant and then mailed a copy of the Summons and Complaint to Defendant Quesada at the place where the copies were left. (*Id.*) Plaintiff’s properly executed proof of service showing service of the Summons and Complaint on Defendants via substitute service creates a rebuttable presumption that service was proper. (*Floveyor Int'l, Ltd. v. Superior Court* (1997) 59 Cal.App.4th 789, 795; *American Exp. Centurion Bank v. Zara* (2011) 199 Cal.App.4th 383, 390.)

Defendant Quesada has not submitted evidence to rebut the presumption of proper service. The motion to quash is denied.

The court is sympathetic to the efforts that Defendant Quesada, a pro per litigant, has expended in presenting her case and fully recognizes the personal investment she has in this matter. However, the court must treat a self-represented party the same as a represented party and must uniformly apply the procedural and substantive rules of the legal system. (See *Nwosu v. Uba* (2004) 122 Cal.App.4th 1229, 1246-1247.) Defendant Quesada has not presented any evidence in support of her

		contentions and it “would be unfair to the other parties to litigation” to ignore this fact. (<i>Rappleyea v. Campbell</i> (1994) 8 Cal.4th 975, 984-985.) Plaintiff to give notice.
4	23-01329149 <i>Eikanas vs. Summit Healthcare REIT, Inc.</i>	1) Motion to Challenge Privilege Clawback Attempt 2) Motion to Compel Answers to Special Interrogatories
5	23-01342492 <i>Er vs. APSEC Resolution Trust LLC</i>	1) Demurrer to Amended Complaint 2) Demurrer to Amended Complaint Defendant APSEC’s demurrer is OVERRULED in part as to the 1st-5th and 9th-11th causes of action and SUSTAINED in part as to the 6th-8th causes of action with leave to amend. Defendant ADM’s demurrer is OVERRULED in part as to the 1st-5th, 10th, and 11th causes of action and sustained in part as to the 6th and 7th causes of action with leave to amend. <u>Judicial Notice</u> Defendants’ requests for judicial notice are denied. Documents relating to the transactions alleged in the complaint, including the underlying loan documents, notices of default, and letters are not the subject of judicial notice. <u>Wrongful Foreclosure</u> The first cause of action is for wrongful foreclosure, the elements of which are: (1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property under a power of sale in a mortgage or deed of trust; (2) the party attacking the sale was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering. (<i>Turner v. Seterus, Inc.</i> (2018) 27 Cal.App.5th 516, 525.) Plaintiffs have properly alleged a wrongful foreclosure. Plaintiffs allege the foreclosure was fraudulent, plaintiffs were harmed, and they tendered the amount of indebtedness. (SAC, ¶¶ 50, 56, 57.) Thus, defendants’ demurrer to the 1st cause of action is overruled. <u>Breach of Civil Code §§ 2923.5, 2924, 2924c, and 2924f</u> “Whenever all or a portion of the principal sum of any obligation secured by deed or trust or mortgage on real property ... [has] become due or been declared due by reason of default in payment...the trustor or mortgagor or their successor in interest ... may pay to the beneficiary or the mortgagee or their successors in interest... the entire amount due ... other than the portion of principal as would not then be due had no default occurred....” (Civil Code, § 2924c.)

Defendants argue that plaintiffs remained in default of nonmonetary provisions of the deed of trust. However, the deed of trust is not a part of the SAC and is not the subject of proper judicial notice for the court to consider on demurrer. Thus, defendants' demurrer to the 2nd cause of action is overruled.

Cancellation of Trustee Deed

To plead on a claim to cancel an instrument, a plaintiff must plead: (1) the instrument is void or voidable due to, for example, fraud; and (2) there is a reasonable apprehension of serious injury including pecuniary loss or the prejudicial alteration of one's position. (*U.S. Bank National Association v. Naifeh* (2016) 1 Cal.App.5th 767, 779.)

Plaintiffs have properly alleged a claim for cancellation of an instrument. Plaintiffs allege the foreclosure was fraudulent and prejudice. (SAC, ¶¶ 79-95.) Thus, defendants' demurrer to the 3rd cause of action is overruled.

Set Aside Trustee Sale

To plead a claim to set aside a trustee sale, a plaintiff must plead: (1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property under a power of sale in a mortgage or deed of trust; (2) the party attacking the sale, e.g., the trustor or mortgagor, was prejudiced or harmed; and (3) the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering. (*Lona v. Citibank, N.A.* (2011) 202 Cal.App.4th 89, 104.)

As discussed in the first cause of action, plaintiffs have adequately plead fraud, harm, and tender. Thus, defendants' demurrer to the 4th cause of action is overruled.

Unfair Business Practices

The fifth cause of action is for unfair business practices under the Unfair Competition Law (the UCL), Bus. & Prof. Code §§ 17200 and 17500. The UCL prohibits, and provides civil remedies for, unfair competition. (*Gutierrez v. Carmax Auto Superstores California* (2018) 19 Cal.App.5th 1234, 1265.) "Unfair competition" includes "any unlawful, unfair or fraudulent business act or practice." (Bus. & Prof. Code, § 17200.) The purpose of the UCL is to protect both consumers and competitors by promoting fair competition in commercial markets for goods and services. (*Gutierrez, supra*, 19 Cal.App.5th 1234, 1265.)

As discussed above, plaintiffs have adequately plead fraud. Thus, defendants' demurrer to the 5th cause of action is overruled.

Conspiracy to Defraud and Fraud

To plead a cause of action for fraud, a plaintiff must allege: (1) misrepresentation (false representation, concealment, or nondisclosure); (2) knowledge of falsity (or "scienter"); (3) intent to defraud, i.e., to

induce reliance; (4) justifiable reliance; and (5) resulting damage. (*Amiodarone Cases* (2022) 84 Cal.App.5th 1091, 1109.) Each element “must be pled specifically; general and conclusory allegations do not suffice.” *Ibid.* Accordingly, plaintiffs must plead facts which “show how, when, where, to whom, and by what means the representations were tendered.” (*Ibid.*)

Plaintiffs have failed to adequately allege fraud. Plaintiffs have not plead justifiable reliance. They claim that their ignorance of the reduction in the visibility of the foreclosure sale constitutes reliance. However, Plaintiffs fail to allege how they relied upon the visibility of the sale. Thus, defendants’ demurrer to the 6th and 7th causes of action are sustained.

Breach of Contract

To plead a cause of action for breach of contract, a plaintiff must allege: (1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff. (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.) “[I]t is absolutely essential to plead the terms of the contract either in haec verba or according to legal effect” (*Twaite v. Allstate Insurance Company* (1989) 216 Cal.App.3d 239, 252.)

Plaintiffs have failed plead the legal effect of the contract. Plaintiffs have not plead any of the terms of the contract they claim was breached. Thus, defendants’ demurrer to the 8th cause of action is sustained.

Unjust Enrichment

There is a split of authority as to whether unjust enrichment is a cause of action. (See *Melchior v. New Line Prods., Inc.* (2003) 106 Cal.App.4th 779, 793; *Levine v. Blue Shield of California* (2010) 189 Cal.App.4th 1117, 1138.) To the extent that it is a cause of action, the elements of a cause of action “are simply stated as ‘receipt of a benefit and unjust retention of the benefit at the expense of another.’ [Citations.]” (*Professional Tax Appeal v. Kennedy-Wilson Holdings* (2018) 29 Cal.App.5th 230, 238.)

Plaintiffs have adequately plead a claim for unjust enrichment. Plaintiffs allege defendant received an unjust benefit through its wrongful foreclosure. Thus, defendants’ demurrer to the 9th cause of action is overruled.

Quiet Title

To plead a cause of action for breach of contract, a plaintiff must allege: (1) a description of the property in question; (2) the basis for plaintiff’s title; and (3) the adverse claims to plaintiff’s title. (Cal. Code Civ. Proc., § 761.020.)

Plaintiffs have adequately alleged a description of the property, they tendered the amount necessary “to bring the defaulted loans current”,

		and an adverse claim. (SAC, ¶¶ 1, 173-177.) Thus, APSEC's demurrer to the 10th cause of action is overruled. <u>Reinstatement of Loan</u> As discussed above, plaintiffs have adequately alleged a cause of action for wrongful foreclosure. Thus, plaintiffs may reinstate their loan. Therefore, defendants' demurrer to the 11th cause of action is overruled.
6	23-01333845 <i>Garcia vs. Mazda Motor of America, Inc.</i>	Motion to Compel Production OFF CALENDAR
7	22-01241218 <i>Gay vs. Nguyen</i>	Motion for Summary Judgement and/or Adjudication The motion of defendant Memorial Care Surgical Center at Orange Coast, LLC ("Surgery Center") for Summary Judgment in favor of the Surgery Center as to plaintiffs David L. Gay and Jamie Gay's Second Amended Complaint is DENIED. <u>Evidentiary Objections:</u> California Rules of Court, Rule 3.1354, subdivision (b) which states in pertinent part: "Each written objection must be numbered consecutively and must: . . . (3) Quote or set forth the objectionable statement or material. . ." Both Surgery Center and Plaintiffs have filed extensive evidentiary objections, however, neither party has complied with Rule 3.1354 and quoted or set forth the objectionable statement or material to which the objection is made. Therefore, the Court declines to rule on the evidentiary objections filed by the parties. <u>Request for Judicial Notice:</u> Surgery Center's Request for Judicial Notice of Exhibits A-U is GRANTED. Plaintiffs' Request for Judicial Notice is DENIED as unnecessary to the disposition of the Motion. <u>Merits:</u> "A party may move for summary judgment in an action or proceeding if it is contended that the action has no merit or that there is no defense to the action or proceeding." (Code Civ. Proc. § 437c(a)(1).) "A defendant moving for summary judgment must show 'that one or more elements of the cause of action...cannot be established, or that there is a complete defense to the cause of action.'" (<i>Wicks v. Antelope Valley Healthcare District</i> (2020) 49 Cal.App.5th 866, 875.) "Summary judgment is appropriate where 'all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law.'" (<i>Wicks, supra</i>, 49 Cal.App.5th 875.) "Once the defendant . . . has met that burden, the burden shifts to the plaintiff . . . to show that a triable issue of one or more material facts exists as to that cause of action or a defense thereto." (Code Civ. Proc. § 437c(p)(2).)

Plaintiff David L. Gay asserts a single cause of action for Negligence/Malpractice against the Surgery Center and Plaintiff Jamie Gay asserts a single cause of action for Loss of Consortium arising out of Mr. Gay's claim for Negligence/Malpractice.

Negligence/Malpractice:

"The elements of a medical malpractice cause of action are: " "(1) duty of professional to use such skill, prudence, and diligence as other members of his profession commonly possess and exercise; (2) a breach of that duty; (3) a proximate causal connection between negligent conduct and resulting injury; and (4) actual loss or damage resulting from professional's negligence." [Citation.] " " [Citation.]" (*Avivi v. Centro Medico Urgente Medical Center (Avivi)* (2008) 159 Cal.App.4th 463, 468, fn. 2.)

"Because the standard of care in a medical malpractice case is a matter 'peculiarly within the knowledge of experts' [citation], expert testimony is required to 'prove or disprove that the defendant performed in accordance with the standard of care' unless the negligence is obvious to a layperson." (*Johnson v. Superior Court* (2006) 143 Cal.App.4th 297, 305.)

" " "California courts have incorporated the expert evidence requirement into their standard for summary judgment in medical malpractice cases. When a defendant moves for summary judgment and supports his motion with expert declarations that his conduct fell within the community standard of care, he is entitled to summary judgment unless the plaintiff comes forward with conflicting expert evidence." [Citations.]' [Citations.]" (*Hanson v. Grode (Hanson)* (1999) 76 Cal.App.4th 601, 607.)

Surgery Center moves on the grounds that plaintiff Mr. Gay cannot establish two elements of the medical negligence cause of action: (1) breach of the applicable standard of care; and (2) proximate causal connection between Mr. Gay's alleged injuries and any alleged negligence by the Surgery Center.

The Surgery Center relies on the expert declaration of Pat Minero, BSN, AND, CNOR ("Nurse Minero") a California licensed registered nurse to show that the Surgery Center did not breach the applicable standard of care and that the Surgery Center's acts were not a legal cause of Plaintiffs' injuries. Nurse Minero states based upon her education, training, experience, and expertise as an experienced registered nurse, as well as her review of the records and discovery in this matter, it is her opinion that the care provided to Mr. Gay by the nursing staff and/or non-physician healthcare staff of the Surgery Center at all times, up through and including after the upper endoscopy and colonoscopy procedures performed on Mr. Gay by Dr. Nguyen on November 11, 2020, at the Surgery Center, complied with the applicable standard of care. (Nurse Minero Decl., ¶¶ 27, 65.) It is also Nurse Minero's opinion with a medical probability that no alleged negligence of nursing staff and/or non-

physician healthcare staff of the Surgery Center was the legal cause of any of the complications and/or injuries alleged by Plaintiffs. (Nurse Minero Decl., ¶ 66.) Nurse Minero further opines the Surgery Center did not breach the standard of care by granting surgical privileges to a non-board-certified gastroenterologist to perform a colonoscopy procedure at the Surgery Center and that board-certification, by itself, is not the standard of care for granting surgical privileges at an ambulatory surgery center. (Nurse Minero Decl., ¶ 64.)

Plaintiffs argue Nurse Minero’s opinion is flawed because she did not have access to the Surgery Center’s binding admission, which was supplemented on September 13, 2023 (after the motion for summary judgment was filed) and did not review the depositions of the Person Most Knowledgeable (“PMK”) of the Surgery Center, Dr. Nguyen, and Mr. Gay.

As to the Surgery Center’s admission, Plaintiffs have shown that the Surgery Center has admitted that “it is more likely than not that Plaintiff David L. Gay experienced a ‘splenic injury,’ namely a splenic artery tear, during the colonoscopy Dr. Nguyen performed on him.” (Dolce Decl, Ex. 5 [RFA Response No. 14].)

Further, Plaintiffs have shown that Nurse Minero’s opinion did not consider the deposition testimony of the PMK for the Surgery Center who testified that it is the Surgery Center’s “procedure that if a patient were to be complaining of pain, that whoever is wheeling that patient down regardless if they’re a nurse, a medical assistant, that they would instruct the charge nurse, bring the patient back upstairs, and make sure we address any pain. (Hoffman Depo., 160:9-14.)

Similarly, Plaintiffs have shown Nurse Minero’s opinion did not consider Dr. Nguyen’s testimony that it was his practice not to send a patient home if they are in pain which he considers “medical care as well as compassionate care.” (Dr. Nguyen Depo., 127:25-128:2.)

Lastly, Plaintiffs argue Nurse Minero did not consider plaintiff Mr. Gay’s deposition during which he testified that when he was placed in the wheelchair: “I was bent leaning over, bent over in a fetal position . . . , bent over, holding my stomach, and saying, ‘My fucking stomach is fucking killing me.’” (Mr. Gay’s Depo., 60:7-10.) Although Nurse Minero did not consider Mr. Gay’s deposition testimony, she did take into account Plaintiff’s verified allegations of pain in his FAC paragraphs 35 and 36 in which Plaintiffs allege Mr. Gay was “experiencing severe abdominal pain after she wheeled him outside for transfer to Jamie Gay” and that “[i]n response to Jamie Gay’s concern for her husband’s complaints of pain and appearance distress, DOE 1 reassured her that it was most likely because of the anesthesia wearing off.” (SAC, ¶¶ 35-36.)

“The evidence of the party opposing the motion must be liberally construed, and that of the moving party strictly construed.” (*Johnson v. Superior Ct.* (2006) 143 Cal.App.4th 297, 308.) Here, Nurse Minero did not consider the Surgery Center’s admission that “it is more likely than

		not that Plaintiff David L. Gay experienced a ‘splenic injury,’ namely a splenic artery tear, during the colonoscopy Dr. Nguyen performed on him;” the depositions of the PMK of the Surgery Center and Dr. Nguyen that it was their standard of care to not discharge a patient complaining of pain, or the deposition testimony of plaintiff Mr. Gay that he complained of severe pain when he was being discharged. Since Nurse Minero’s opinion does not consider this evidence, Nurse Minero’s declaration is insufficient to meet the Surgery Center’s initial burden proof to establish the Surgery Center acted within the standard of care in the community and that the Surgery Center’s acts were not a legal cause of Plaintiffs’ injuries. Accordingly, judgment on the negligence/malpractice cause of action is DENIED. Since plaintiff Jamie Gay’s Loss of Consortium cause of action also arises out of Mr. Gay’s claim for Negligence/Malpractice, judgment as to the Loss of Consortium claim is also DENIED. Based on the foregoing, the Motion for Summary Judgment is DENIED. Moving party to give notice.
8	23-01357339 <i>Guarienti vs. Providence Saint Jude Medical Center</i>	Demurrer to Amended Complaint Defendant Pauline Ho, M.D.’s Demurrer to Plaintiff’s First Amended Complaint is OVERRULED. Defendant contends Plaintiff has failed to allege the elements of constructive fraud, and that Plaintiff’s claim is barred under the Federal Public Readiness and Emergency Preparedness Act, 42 U.S.C. §§ 247d-6d, 247d-6e (“PREP Act”). In the First Amended Complaint (FAC), Plaintiff alleges Defendants negligently treated decedent for COVID-19, including providing Remdesivir and failing to provide information about potential off-label treatments such as hydroxychloroquine. Rather than pursuing a claim for medical negligence, Plaintiff has chosen to base her wrongful death claim on a violation of Civil Code section 1573, which states: “Constructive fraud consists: 1. In any breach of duty which, without an actually fraudulent intent, gains an advantage to the person in fault, or any one claiming under him, by misleading another to his prejudice, or to the prejudice of any one claiming under him; or, 2. In any such act or omission as the law specially declares to be fraudulent, without respect to actual fraud.”

		At this stage, Plaintiff has adequately alleged facts which, if proven, could support a claim that Defendant misled Plaintiff and decedent regarding the available treatments for COVID-19. Whether Plaintiff can support the elements of her claim with evidence, including Defendant gaining an advantage and Plaintiff or decedent suffering prejudice, can be decided at a later stage. As for Defendant's contention that Plaintiff's claim is barred by the PREP Act, Defendant has not presented evidence or requested judicial notice of matters which could allow the Court to determine this issue at the pleading stage. For example, Defendant contends Remdesivir, which was allegedly provided to decedent, was a "covered countermeasure" because it was FDA-approved at relevant times. Defendant cites an FDA document which is not the subject of a request for judicial notice, but the Court cannot consider evidence at this stage unless it is subject to judicial notice. Defendant also does not cite case law discussing application of the PREP Act in this context. Therefore, the Court declines to sustain the demurrer on the grounds of PREP Act immunity.
9	21-01185998 <i>Jackson vs. Collectors Universe, Inc.</i>	Motion to Appear Pro Hac Vice Defendant Collectors Universe, Inc.'s (also sued as Professional Sports Authenticator a/k/a PSA) Application of Jonathan Parente to Appear as Counsel Pro Hac Vice is GRANTED. Defendant has submitted the verified application of counsel which complies with the California Rules of Court, Rule 9.40. Moving Party is to give notice.
10	22-01285836 <i>Marino vs. Orange County School of the Arts</i>	Motion for Summary Judgement and/or Adjudication Defendant Orange County School of Arts move for summary judgment in favor of Defendant and against Plaintiff Daniel B. Marino is DENIED. Plaintiff's Evidentiary Objections to Defendants' Evidence are OVERRULED for failure to comply with California Rules of Court, Rule 3.1354, subdivisions (a) and (b). Defendant's Evidentiary Objections to Plaintiff's Evidence are OVERRULED for failure to comply with California Rules of Court, Rule 3.1354, subdivisions (a) and (b). Plaintiff's request for judicial notice of excerpts from a publication by the State of California Department of Industrial Relations, Division of Labor Standards Enforcement, entitled "California Child Labor Laws 2013", pursuant to Evidence Code, section 452(b) is GRANTED.

Plaintiff's request for the court to consider its Notice of Errata filed 3/12/24 [ROA 51] is GRANTED.

LEGAL STANDARD – MOTION FOR SUMMARY JUDGMENT

“The party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law. That is because of the general principle that a party who seeks a court's action in his favor bears the burden of persuasion thereon. (See Evid. Code, § 500.) There is a triable issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof.” (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850 (fn omitted).)

Code of Civil Procedure section 437c, subdivision (p)(2) states, “A defendant or cross-defendant has met his or her burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action. Once the defendant or cross-defendant has met that burden, the burden shifts to the plaintiff or cross-complainant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The plaintiff or cross-complainant shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto.” Once the defendant has met this burden, the burden shifts to the plaintiff to show a triable issue of one or more material facts exists as to the cause of action or a defense thereto. (Code Civ. Proc., § 437c, subd. (p)(1).)

In ruling on a motion for summary judgment or summary adjudication, the court must “consider all of the evidence” and all of the “inferences” reasonably drawn therefrom [citing Code Civ. Proc., § 437c, subd. (c)] and must view the evidence and inferences “in the light most favorable to the opposing party.” (Aguilar, supra, 25 Cal.4th at p. 843.) A court may not make credibility determinations or weigh the evidence on a motion for summary judgment or adjudication, and all evidentiary conflicts are to be resolved against the moving party. (McCabe v. American Honda Motor Corp. (2002) 100 Cal.App.4th 1111, 1119.) The moving party's papers are to be strictly construed, while the opposing party's papers are to be liberally construed. (Committee to Save Beverly Highland Homes Ass'n v. Beverly Highland (2001) 92 Cal.App.4th 1247, 1260.)

MERITS

In his complaint, Plaintiff alleges Defendant terminated him from his job as a part time temporary substitute teacher in retaliation for disclosing, or threatening to disclose, Defendant's alleged illegal practices and

activities, including illegal child labor practices and exposing students to health and safety hazards. (Complaint, ¶¶ 8-10, 12, 13, 17, 18.)

Labor Code section 1102.5, subdivision (b) provides: “An employer, or any person acting on behalf of the employer, shall not retaliate against an employee for disclosing information, or because the employer believes that the employee disclosed or may disclose information, to a government or law enforcement agency, to a person with authority over the employee or another employee who has the authority to investigate, discover, or correct the violation or noncompliance, or for providing information to, or testifying before, any public body conducting an investigation, hearing, or inquiry, if the employee has reasonable cause to believe that the information discloses a violation of state or federal statute, or a violation of or noncompliance with a local, state, or federal rule or regulation, regardless of whether disclosing the information is part of the employee's job duties.”

“[S]ection 1102.6, and not McDonnell Douglas, supplies the applicable framework for litigating and adjudicating section 1102.5 whistleblower claims.” (Lawson v. PPG Architectural Finishes, Inc. (2022) 12 Cal.5th 703, 712.) “Section 1102.6 provides the governing framework for the presentation and evaluation of whistleblower retaliation claims brought under section 1102.5. First, it places the burden on the plaintiff to establish, by a preponderance of the evidence, that retaliation for an employee’s protected activities was a contributing factor in a contested employment action.” (Id. at 718.) “Once the plaintiff has made the required showing, the burden shifts to the employer to demonstrate, by clear and convincing evidence, that it would have taken the action in question for legitimate, independent reasons even had the plaintiff not engaged in protected activity.” (Id.)

To establish a prima facie case of retaliation under Labor Code section 1102.5, plaintiff must show (1) plaintiff engaged in a protected activity, (2) the employer subjected plaintiff to an adverse employment action, and (3) a causal link between the two. (St. Myers v. Dignity Health (2019) 44 Cal.App.5th 301, 314.)

Defendant argues Plaintiff cannot establish he engaged in protected activities for two reasons: (1) Plaintiff never had a reasonable belief Defendant engaged in illegal activity since Plaintiff cannot point to any specific statute or law Defendant violated and (2) Plaintiff never reported any violation or noncompliance before he was terminated. “To have a reasonably based suspicion of illegal activity, the employee must be able to point to some legal foundation for his suspicion—some statute, rule or regulation which may have been violated by the conduct he disclosed.” (Ross v. County of Riverside (2019) 36 Cal.App.5th 580, 592 [cleaned up].) When the employee is disclosing suspicions of illegal activity, section 1102.5, subdivision (b), does not require an express statement of the specific law the employee believes the employer was violating or not complying with. (Id., at 592-593.) “It requires only that an employee disclose information and that the employee reasonably believe the information discloses unlawful activity.” (Id., at 593.) “This

clause imposes a requirement of objective reasonableness” (People ex rel. Garcia-Brower v. Kolla's, Inc. (2023) 14 Cal.5th 719, 734.) In addition, Plaintiff must prove he disclosed, or threatened to disclose, information about illegal activity or noncompliance “to a government or law enforcement agency, to a person with authority over the employee or another employee who has the authority to investigate, discover, or correct the violation or noncompliance.” (Labor Code, § 1102.5(b).)

Plaintiff has raised a triable issue of material fact as to whether he had a reasonable belief Defendant engaged in illegal activity. Plaintiff alleges Defendant engaged in curfew violations, child labor and exposure to health and safety hazards. (Defendant’s Undisputed Material Facts (DUMF # 32.) Plaintiff has pointed to a legal foundation for his suspicions regarding curfew and child labor law violations based on statements made to him by students. (Plaintiff’s Decl., ¶¶ 19, 20, 21, 22, 46; Ex. I – State of California publication “Child Labor Laws”.) Plaintiff is not required to identify the specific law that was violated. (See Ross, supra 36 Cal.App.5th at 592-593.)

Further, Plaintiff has established a triable issue of material fact as to whether he disclosed these concerns. Defendant points out that Plaintiff testified at his deposition that he did not disclose any claimed illegality to his employer, to someone with authority over those decisions because he felt there were others raising the issues. (DUFM) # 35, 39-41; Plaintiff’s Deposition at pp. 140:22-141:11.) In his opposition, Plaintiff argues he made two disclosures: on 4/13/22 to his co-worker, paraeducator Ciara McCann, and on 4/21/22, to Dean William Wallace. With respect to McCann, Plaintiff states in his declaration that he commented to McCann what appeared to be unfair student labor practices and that he believed child labor regulations applied to the school’s practices that were being violated according to student complaints that were made to both Plaintiff and McCann. (Plaintiff’s Decl., ¶¶ 14, 16, 22, 26.) Defendant does not dispute that Plaintiff made these statements to McCann. Defendant argues that any conversations Plaintiff had with McCann does not constitute a protected disclosure because she did not have corrective authority. However, a protected disclosure can be made to another employee who has “authority to investigate, discover, or correct the violation or noncompliance.” (Labor Code §1102.5(b).) Plaintiff has established that McCann at least had the authority to discover such violations in that she testified at her deposition that her job was to “oversee [students] academic supports as well as behavioral support, mental health support, et cetera.” (Plaintiff’s Ex. M, McCann Deposition, p. 18:15-22.)

With respect to the Wallace, Plaintiff contends the disclosure to Wallace was Plaintiff’s acknowledgement of a prior remark making an “administrative salaries” fairness comparison. Based on this acknowledgment, Plaintiff speculates that Defendant must have known Plaintiff discussed illegal practices before his termination. However, the question is whether Plaintiff himself disclosed to Wallace. Further, speculative evidence is insufficient to defeat summary judgment. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 163.) Nevertheless,

Plaintiff's disclosure to McCann is sufficient to raise a triable issue of material fact.

Lastly, Plaintiff has established a triable issue of material fact as to whether Defendant terminated Plaintiff for legitimate, independent reasons even if he had not engaged in protected activity. Defendant's stated reasons for terminating Plaintiff was for violating Defendant's sexual harassment policy and deviating from lesson plans.

Regarding harassment, Defendant's evidence establishes that Plaintiff made McCann uneasy after he spoke to vulnerable students about triggering issues on; referred to her as a "rad sister"; sent her numerous messages on Instagram and personally confronted her after she did not respond; McCann questioned whether Plaintiff was trying to establish a romantic relationship; in the lunchroom on 4/21/22, Plaintiff made eye contact with McCann when he expressed his love to a room full of colleagues, and after leaving the room he returned and knelt next to McCann to hand her a sticky note. (DUMF # 7, 8, 9, 12-21.) Wallace investigated and confirmed all of the foregoing on 4/21/22 and concluded Plaintiff violated Defendant's sexual harassment policy by engaging in conduct that had the purpose or effect of unreasonably interfering with an individual's work or academic performance or creating an intimidating, hostile, or offensive work environment. (DUMF # 22-31.) Regarding deviating from the lesson plans, Defendant's evidence establishes that on 4/21/22, Plaintiff admitted to Wallace that he discussed matters including administrator salaries and child labor practices during the wellness seminar. (UMF # 30.) On this basis, Wallace concluded Plaintiff did not follow the lesson plans with fidelity. (DUMF #31.) Defendant terminated Plaintiff on 4/21/22. (DUMF # 1.)

Plaintiff's evidence establishes Defendant ignored the Plaintiff's employment contract. Although the contract provides that Plaintiff's employment was "for temporary at-will employment and may be terminated by the BOARD or its designee without cause at any time," "the AGREEMENT may be terminated for any cause specified in the BOARD policy." (P's Ex. K – Employment Contract dated 1/10/2022, ¶ 1.) The contract further outlines the process for terminating with and without cause. Namely, termination without cause can be done at any time but must be done in writing upon 30 days written notice to P. (P's Ex. K – Employment Contract dated 1/10/2022, ¶9(f).) Termination with cause during the school year does not require 30-day notice, but reasons for termination must be presented in writing and Plaintiff must be given an opportunity to meet with the Board to give his version of events before termination. (P's Ex. K – Employment Contract dated 1/10/2022, ¶9(g).) Plaintiff did not receive advance notice as required and he was not given an opportunity to explain his version of the alleged misconduct to Wallace, Metoyer or the Board of Trustees. (PRUMF #2.) Instead, he was terminated the same day the misconduct was reported/discovered. This violation of Plaintiff's employment contract, coupled with the hasty investigation, and the close proximity in time between Plaintiff's disclosure of violations to McCann on 4/13/22 and

		his termination on 4/21/22 raises a triable issue of material fact as to whether Defendant would have terminated Plaintiff if he had not engaged in protected activity. (See <i>Scheer v. Regents of the University of California</i> (2022) 76 Cal.App.5th 904, 917-918 [discussing admissibility of circumstantial evidence of pretext].) Based on the foregoing, the motion for summary judgment is DENIED.
11	24-01370449 <i>Martynas Jancius vs. Mercedes-Benz USA, LLC</i>	Motion to Compel Arbitration Defendant Mercedes-Benz USA, LLC’s motion to compel arbitration is DENIED. <u>Third Party Beneficiary</u> Defendant Mercedes-Benz argues it can force arbitration provision of the RISC as a third-party beneficiary. “As a general rule, only a party to an arbitration agreement may enforce the agreement.” (<i>Felisilda, supra</i>, 53 Cal.App.5th 486, 495). However, “[a] contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it.” (<i>Goonewardene v. ADP, LLC</i> (2019) 6 Cal.5th 817, 827). In order to determine whether defendant is a “third party beneficiary,” this court must “carefully examin[e] the express provisions of the contract at issue, as well as all of the relevant circumstances under which the contract was agreed to, in order to determine not only (1) whether the third party would in fact benefit from the contract, but also (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.” (<i>Goonewardene, supra</i>, 6 Cal.5th 817, 829-830). “All three elements must be satisfied to permit the third party action to go forward.” (<i>Id.</i> at 830). In <i>Ngo v. BMW of North America, LLC</i> (9th Cir. 2022) 23 F.4th 942, persuasively analyzed an identical agreement and found a manufacturer was not a third-party beneficiary of the same. (<i>Id.</i> at 946-948). Similar to the contract in <i>Ngo</i>, the contract herein makes clear it is enforceable only by Plaintiff and Mercedes-Benz of Laguna Niguel (and its successors and assignees). Further, as was the case in <i>Ngo</i>, nothing in this agreement articulates an intent to benefit Mercedes-Benz, given the near identical limitation on enforcement. “Although the arbitration clause may have extended to claims regarding the purchase of the vehicle, it does not follow that additional parties can enforce the arbitration clause.” (<i>Ngo, supra</i>, 23 F.4th 942, 948). To hold the above would be to “confuse[] the nature of the claims covered by the

arbitration clause with the question of who can compel arbitration.” (*Id.*).

The Court in Ford Motor Warranty Cases expressly agreed with the reasoning in Ngo, stated above. (*Ochoa, supra*, 89 Cal.App.5th 1324.) Specifically, the Ochoa court stated: “We agree with Ngo that the sale contracts reflect no intention to benefit a vehicle manufacturer under Goonewardene. First, nothing in the sale contracts or their arbitration provision offers any direct ‘benefit’ to FMC...[i]ts direct benefits are expressly limited to those persons who might rely on it to avoid proceeding in court – the purchaser, the dealer, and the dealer’s employees, agents, successors or assigns.” (*Id.* at 1338.) “Second, there is no indication that a benefit to FMC was the signatories ‘motivating purpose’...[t]he manifest intent of the parties was to buy, sell and finance a car, and to allow either the purchaser or the dealer to compel arbitration of the specified categories of disputes between them, or between the purchaser and any of the dealer’s ‘employees, agents, successors or assigns.’” (*Id.* at 1338-1339.) Further, the Ochoa court explained: “FMC contorts the meaning of the arbitration clause when it claims the reference to ‘third parties who do not sign this contract’ gives it a right to arbitrate.” (*Id.* at 1339.) “As already discussed, this reference concerns what may be arbitrated, not who may arbitrate.” (*Ibid.*) “The parties choice of the subject of the disputes they agree to arbitrate does not evince an intention to benefit nonparties so as to affect who is entitled to compel arbitration.” (*Ibid.*) “Finally, allowing FMC to enforce the arbitration provision as a third party beneficiary would be inconsistent with the ‘reasonable expectations of the contracting parties’ [citation] where they twice specifically vested the right of enforcement in the purchase and the dealer only.” (*Id.* at 1340.)

The language of the RISC defendant relies upon is identical to the language analyzed by the court in Ochoa. Thus, defendant is not a third-party beneficiary of the RISC. Therefore, it cannot enforce the arbitration agreement within the RISC.

Equitable Estoppel

Defendant argues it may enforce the arbitration provision of the RISC under the doctrine of equitable estoppel.

“Under the doctrine of equitable estoppel, ‘as applied in ‘both federal and California decisional authority, a nonsignatory defendant may invoke an arbitration clause to compel a signatory plaintiff to arbitrate its claims when the causes of action against the nonsignatory are intimately founded in and intertwined’ with the underlying contract obligations.” (*Felisilda, supra*, 53 Cal.App.5th 486, 495.) “By relying on contract terms in a claim against a nonsignatory defendant, even if not exclusively, a plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement.” (*Id.* at 496.) “Where the equitable estoppel doctrine applies, the nonsignatory has a right to enforce the arbitration agreement.” (*Ibid.*)

“‘The fundamental point’ is that a party is ‘not entitled to make use of [a contract containing an arbitration clause] as long as it worked to [his or] her advantage, then attempt to avoid its application in defining the forum in which [his or] her dispute...should be resolved.’” (*Felisilda, supra*, 53 Cal.App.5th 486, 495.) “In any case applying equitable estoppel to compel arbitration despite the lack of an agreement to arbitrate, a nonsignatory may compel arbitration only when the claims against the nonsignatory are founded in an inextricably bound up with the obligations imposed by the agreement containing the arbitration clause.” (*Ibid.*). “In determining whether the plaintiffs’ claim is founded on or intimately connected with the sales contract, we examine the facts of the operative complaint.” (*Ibid.*)

Here, it is undisputed that Plaintiffs’ warranty claim arises from manufacturing warranties provided by Defendant Mercedes-Benz. However, Defendant has not established whether these warranties are “founded in and inextricably bound up with” the RISC.

In brief, the court in *Felisilda* found that manufacturing warranties are inextricably bound with the sales agreement, while the courts in *Ochoa* and *Montemayor* found that they are not.

The *Felisilda* court noted: “In signing the sales contract, the *Felisildas* agreed that ‘[a]ny claim or dispute, whether in contract, tort, statute or otherwise...between you and us...which arises out of or relates to...[the] condition of this vehicle...shall...be resolved by neutral, binding arbitration and not by a court action.’” (*Felisilda, supra*, 53 Cal.App.5th 486, 496.) Thereafter, the Court noted that “the *Felisildas*’ claim against FCA relates directly to the condition of the vehicle.” (*Ibid.*) “In their complaint, the *Felisildas* alleged that ‘express warranties accompanied the sale of the vehicle to [them] by which FCA...undertook to preserve or maintain the utility or performance of [their] vehicle or provide compensation if there was a failure in such utility or performance.’” (*Ibid.*) “Thus, the sales contract was the source of the warranties at the heart of this case.” (*Ibid.*)

Based on the above, *Felisilda* concluded: “[T]he *Felisildas*’ agreement to the sales contract constituted express consent to arbitrate their claims regarding vehicle condition even against third parties.” (*Id.* at 498.) Additionally, “[b]ecause the *Felisildas* expressly agreed to arbitrate claims arising out of the condition of the vehicle – even against third party nonsignatories to the sales contract – they are estopped from refusing to arbitrate their claim against FCA.” (*Id.* at 497.)

In contrast, the court in *Ocho supra*, 89 Cal.App.5th 1324, 1329-1330, 1333, examined identical contractual language and expressly declined to follow *Felisilda*. Initially, the court “disagree[d] with *Felisilda* that ‘the sales contract was the source of [FCA’s] warranties at the heart of this case.’” (*Id.* at 1334.) Instead, the court explained that “manufacturer vehicle warranties that accompany the sale of motor vehicles without

		regard to the terms of the sale contract between the purchaser and the dealer are independent of the sale contract.” (<i>Ibid.</i>) Consequently, the Ochoa court found that plaintiff’s warranty claims were not “founded” in the sales contract. “Rather, plaintiffs’ claims are based on FMC’s statutory obligations to reimburse consumers or replace their vehicles when unable to repair in accordance with its warranty.” (<i>Id.</i> at 1335.) “Not one of the plaintiffs sued on any express contractual language in the sale contracts.” (<i>Ibid.</i>) “The sale contracts include no warranty, nor any assurance regarding the quality of the vehicle sold, nor any promise of repairs or other remedies in the event problems arise. To the contrary, the sale contracts disclaim any warranty on the part of the dealers, while acknowledging no effect on ‘any warranties covering the vehicle that the vehicle manufacturer may provide.’ In short, the substantive terms of the sale contracts relate to sale and financing and nothing more.” (<i>Ibid.</i>) Similar to the above, the agreement herein disclaims any affect on manufacturer warranties stating: “If you do not get a written warranty, and the Seller does not enter into a service contract within 90 days from the date of this contract, the Seller makes no warranties, express or implied, on the vehicle, and there will be no implied warranties of merchantability or of fitness for a particular purpose. [¶] This provision does not affect any warranties covering the vehicle that the vehicle manufacturer may provide. (RISC, p. 4, ¶ 4.) Additionally, similar to the circumstances in Ochoa, Plaintiffs herein are not asserting any claims against Mercedes-Benz, based on the terms of the RISC. The Court in Ochoa further explained: “‘California law does not treat manufacturer warranties imposed outside the four corners of a retail sale contract as part of the sale contract.’” (<i>Ochoa, supra</i>, (2023) 89 Cal.App.5th 1324, 1335.) “[O]ur Supreme Court [has] distinguished between, on the one hand, warranty obligations flowing from the seller to the buyer by contract, and, on the other hand, manufacturer warranties ‘that arise[] independently of a contract of sale between the parties.’” (<i>Id.</i> at 1336.) Ochoa held that “Plaintiff’s claims in no way rely on the sale contracts” and, consequently, “[e]quitable estoppel does not apply.” (<i>Ibid.</i>) Thus, plaintiffs’ claims arise independent of the RISC. Therefore, defendant cannot compel arbitration through equitable estoppel. 1) Defendant to give notice.
12	23-01356405 <i>Pacific Western Bank vs. Sanghavi</i>	1) Application for Right to Attach Order/Writ of Attachment 2) Application for Right to Attach Order/Writ of Attachment The Applications of Plaintiff Banc of California, formerly known as Pacific Western Bank, for right to attach orders and orders for issuance of a writ of attachment against Defendants Rathi Sanghavi and Virusan

Services Inc. dba Pacific Coast Cleaning in the amount of \$111,479.86 is GRANTED.

The Court grants Plaintiff's request for judicial notice.

"At the hearing, the court shall consider the showing made by the parties appearing and shall issue a right to attach order, which shall state the amount to be secured by the attachment determined by the court in accordance with Section 483.015 or 483.020, if it finds all of the following: [¶] (1) The claim upon which the attachment is based is one upon which an attachment may be issued. [¶] (2) The plaintiff has established the probable validity of the claim upon which the attachment is based. [¶] (3) The attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based. [¶] (4) The amount to be secured by the attachment is greater than zero." (Code Civ. Proc. § 484.090(a).)

Plaintiff's Applications meet all four requirements of section 484.090, subdivision (a).

First, pursuant to Code of Civil Procedure section 483.010, subdivision (a) "an attachment may be issued only in an action on a claim or claims for money, each of which is based upon a contract, express or implied, where the total amount of the claim or claims is a fixed or readily ascertainable amount not less than five hundred dollars (\$500) exclusive of costs, interest, and attorney's fees." In addition, section 483.010, subdivision (b) provides, in relevant part: "[a]n attachment may not be issued on a claim which is secured by any interest in real property arising from agreement, statute, or other rule of law..."

Attachment may issue against an individual guarantor of business debts and obligations if the guaranty arose out of the conduct of a guarantor's business. (Code Civ. Proc., § 483.010, subd. (c).) Code of Civil Procedure section 483.010, subdivision (c) provides: "If the action is against a defendant who is a natural person, an attachment may be issued only on a claim which arises out of the conduct by the defendant of a trade, business, or profession. An attachment may not be issued on a claim against a defendant who is a natural person if the claim is based on the sale or lease of property, a license to use property, the furnishing of services, or the loan of money where the property sold or leased, or licensed for use, the services furnished, or the money loaned was used by the defendant primarily for personal, family, or household purposes."

Generally, a claim arises out of "conduct by the defendant of a trade, business, or profession" in circumstances where the "the guarantee of the primary obligor's debt sued upon is part and parcel of an activity which occupies the time, attention and effort of the guarantor for the purpose of livelihood or profit on a continuing basis." (Advance Transformer Co. v. Sup.Ct. (Shapiro) (1974) 44 Cal.App.3d 127, 139; Nakasone v. Randall (1982) 129 Cal.App.3d 757, 764 [holding real estate broker who sold for her own account real property she owned for over 30 years was not engaged in the trade, business or profession of

selling real estate]; Great American Ins. Co. v. National Health Services, Inc. (1976) 62 Cal.App.3d 785, 794-795 [holding individual guarantor of a corporate debt who was a shareholder, officer and member of the board of the defendant debtor corporation and a major shareholder in several related companies was engaged in a trade or business—that of a business investor—and therefore subject to attachment].)

The factors to be considered include whether: (1) the guarantor was actively involved with the debtor on a continuing basis (e.g., as an officer, director, partner, shareholder, etc.); (2) any fee or consideration was paid for the guaranty; (3) the defendant guarantor frequently provided guaranties; and (4) the plaintiff relied upon the defendant guarantor's continuing guaranty in extending credit to the principal debtor. (See Advance Transformer Co., supra, 44 Cal.App3d at p. 144.)

Here, Plaintiff's claims against Defendants are based upon Plaintiff's extension of two commercial lines of credit to Defendant Virusan under two Promissory Notes as subsequently amended, which were guaranteed by Defendant Sanghavi under two commercial guaranty agreement. (Declaration of Steen Weber (Weber Decl.), ¶¶ 14, 18-21, 26, 29-31; Exs. 1, 5-7, 10, 13-15.) The total amount of money due to Plaintiff is fixed or readily ascertainable based on the Promissory Notes and Guaranties, which is greater than \$500. Specifically, according to Plaintiff's records, the total amount of Plaintiff's claims against Defendants is \$75,168.29, exclusive of costs, interest, and attorney's fees. (Weber Decl., ¶ 36; Exs. 17, 18.) Additionally, the Promissory Notes were not secured by any interest in personal or real property. (Weber Decl., ¶¶ 14, 26; Exs. 1, 10.)

With respect to Defendant Sanghavi, the evidence establishes he was engaged in "trade, business, or profession" and the money loaned was not used for "personal, family, or household purposes." Specifically, Defendant Sanghavi was actively involved with Defendant Virusan as an officer on a continuing basis. He signed the Notes and additional loan documents as CEO, CFO and Secretary of Defendant Virsun. (Weber Decl., ¶¶ 14-17, 26-28; Exs. 1-4, 10-12.) Thereafter, Defendant

Sanghavi signed a series of agreements for each loan as CEO, CFO and Secretary of Defendant Virsun, which extended the loans' original maturity date. The agreements were successively dated June 4, 2019; June 24, 2020; August 4, 2021; and August 9, 2022. (Weber Decl., ¶¶ 14-17, 26-28; Exs. 1-4, 10-12.) Further, Defendant Sanghavi was the only person to sign the documents in connection with these loans. (Weber Decl., Exs. 1-15.) Defendant Sanghavi provided a guaranty for each loan. (Weber Decl., Exs. 5, 15.)

Plaintiff relied upon Defendant Sanghavi's continuing guaranty to extend the credit given that each guaranty contains a continuing guaranty provision that provides:

THIS IS A "CONTINUING GUARANTY" UNDER WHICH
GUARANTOR AGREES TO GUARANTEE THE FULL AND

PUNCTUAL PAYMENT, PERFORMANCE AND SATISFACTION OF THE INDEBTEDNESS OF BORROWER TO LENDER, NOW EXISTING OR HEREAFTER ARISING OR ACQUIRED, ON AN OPEN AND CONTINUING BASIS. ACCORDINGLY, ANY PAYMENTS MADE ON THE INDEBTEDNESS WILL NOT DISCHARGE OR DIMINISH GUARANTOR'S OBLIGATIONS AND LIABILITY UNDER THIS GUARANTY FOR ANY REMAINING AND SUCCEEDING INDEBTEDNESS EVEN WHEN ALL OR PART OF THE OUTSTANDING INDEBTEDNESS MAY BE A ZERO BALANCE FROM TIME TO TIME.

(Weber Decl., Exs. 5, 15, p. 1.)

While there is no evidence as to whether Defendant Sanghavi received any fee or consideration for the guaranties, the evidence supports a finding that Defendant Sanghavi was engaged in trade or business. Additionally, each loan was supported by a Disbursement Request and Authorization that confirmed the money would be used for business purposes. (Weber Decl., ¶¶ 17, 21, 28, 321; Ex. 4, 7, 12, 15.)

Therefore, an attachment is proper against both Defendants, and Plaintiff has satisfied the first requirement.

Second, Plaintiff has sufficiently demonstrated that its breach of contract and breach guaranty claims have probable validity. A claim has “probable validity” where “it is more likely than not that the plaintiff will obtain a judgment against the defendant on that claim.” (Code Civ. Proc., § 481.190.) Here, on 8/31/2018, Defendant Virusan executed two Promissory Notes and additional loan documents for two commercial lines of credit: one in the maximum amount of \$93,000.00 (Note No. 1) and the other in the maximum amount of \$10,000.00 (Note No. 2). (Weber Decl., ¶¶ 14-17, 26-28; Exs. 1-4, 10-12.) Defendant Sanghavi signed the Notes and additional loan documents as CEO, CFO and Secretary of Defendant Virsun. (Ibid.) Concurrently with executing the Notes, Defendant Sanghavi executed two Commercial Guaranties for each loan. (Guaranty No. 1 and Guaranty No. 2). (Weber Decl., ¶¶ 18, 29; Ex. 5, 13.) By a series of four written agreements for each loan, the parties extended the original maturity date for each loan from 8/31/2019 to 8/31/2023. (Weber Decl., ¶¶ 19-21, 30-31; Exs. 6,-7, 14-15.) Plaintiff fully funded each loan. (Weber Decl., ¶¶ 14-18, 26-28.)

Defendants failed to make the payments due under each Note. (Weber Decl., ¶¶ 23, 34.) On 4/25/23, Plaintiff sent a letter to Defendants advising them of the Note No. 1 default and provided until 5/9/2023, to pay the Note No. 1 loan in full. (Weber Decl., ¶ 24, Ex. 8.) Plaintiff sent another letter on 5/18/23, advising Defendants of the Note No. 2 default and provided until 6/1/2023, to pay Note No. 2 loan in full. (Weber Decl., ¶ 35, Ex. 16.) Despite these demands, no payments were made. (Weber, Decl., ¶ 34.) On 9/20/2023, Plaintiff sent a third letter demanding payment of both loans in full no later than 10/2/2023. No payments were made. (Declaration of Raffi Khatchadourian

(Khatchadourian Decl.), ¶ 6, Ex. 1.) Thus, cause Defendants failed to repay the Notes, Plaintiff is likely to prevail at trial.

Third, Plaintiff seeks these attachments solely for the purpose of recovering on its claims. (Weber Decl., ¶ 37.)

Fourth, the total amount to be secured by the attachment is \$111,479.86, which is greater than zero.

Based on the above evidence, Plaintiff's Applications meet the requirements under Code of Civil Procedure section 484.090.

Attorney Fees

Attorney fees and costs are coverable only where provided for in the contract or authorized by law. (Civ. Code, §§ 1717, 1717.5; Code Civ. Proc., §§ 1021 et seq., 1033.5, subds. (a)(10), (c)(5).) To obtain fees and costs, the Right to Attach application must contain an estimated amount for costs and allowable fees. (Code Civ. Proc., § 482.110.)

Here, both Notes (Weber Decl., Exs. 1, 10 at p. 2) and both Guaranties (Weber Decl., Exs. 5, 13 at p. 3) expressly provide for recovery of costs and attorney fees. Plaintiff's applications contain an estimated amount of attorney fees of \$22,500.00 and costs of \$2,575.00. (Weber Decl. at ¶ 36; Khatchadourian Decl., ¶¶ 3-5.) Accordingly, this additional sum of \$25,075.00 is properly included in the amounts to be attached.

Description of Property to be Attached

Where an attachment is sought against a corporation, partnership or other unincorporated association, the Right to Attach application need not identify the property to be attached provided item "9a" of the Judicial Council form application is checked. (Code Civ. Proc., § 484.020(e); Ahart, Enforcing Judgments and Debts (Rutter), ¶ 4:189.) Here, item "9a" of Plaintiff's application against Defendant Virsun is checked.

However, where an attachment is sought against a natural person, the particular types of property to be attached must be described in the Right to Attach application. (Code Civ. Proc., § 484.020(e).) The description must be "reasonably adequate to permit the defendant to identify the specific property sought to be attached." (Id.) An "all inclusive" application that includes broad categories of property sought to be attached is permissible. (See Bank of America v. Salinas Nissan, Inc. (1989) 201 Cal. App. 3d 260, 268 [approving of plaintiff's use of broad descriptive categories of property subject to attachment]; see also Code Civ. Proc., § 487.010, subd. (c) [categories of property belonging to a natural person subject to attachment]; Code Civ. Proc., § 488.300 et. seq. [methods of levy re attached property].) Here, Plaintiff's application against Defendant Sanghavi mirrors these permissible statutory

		categories, and further identifies specific assets to the extent known to Plaintiff, including real property owned by Defendant Sanghavi, which Plaintiff described using the property's legal description. (See RJN, Ex. 1.) Plaintiff is to post a statutory undertaking of \$10,000. (Code Civ. Proc. § 489.220(a).) Plaintiff to give notice.
21	22-01241813 <i>Shady Bird Lending, LLC vs. The Source At Beach, LLC</i>	1) Motion to Compel Answers to Form Interrogatories 2) Motion to Compel Answers to Special Interrogatories • OFF CALENDAR
22	23-01368247 <i>Gleason vs. Keystone Pacific Property Management LLC</i>	Motion for Writ of Mandate Petitioner Badri Gleason's unopposed Petition for a Writ of Mandate ordering respondent Keystone Pacific Property Management LLC to permit Petitioner's Director Inspection of the Monarch Point Homeowners' Association books and records is GRANTED. "Every director shall have the absolute right at any reasonable time to inspect and copy all books, records and documents of every kind and to inspect the physical properties of the corporation of which such person is a director and also of its subsidiary corporations, domestic or foreign. Such inspection by a director may be made in person or by agent or attorney and the right of inspection includes the right to copy and make extracts." (Cal. Corp. Code § 1602.) "Upon refusal of a lawful demand for inspection, the superior court of the proper county, may enforce the right of inspection with just and proper conditions or may, for good cause shown, appoint one or more competent inspectors or accountants to audit the books and records kept in this state and investigate the property, funds and affairs of any domestic corporation or any foreign corporation keeping records in this state and of any subsidiary corporation thereof, domestic or foreign, keeping records in this state and to report thereon in such manner as the court may direct." (Cal. Corp. Code § 1603(a).) "Unlike director inspection rights in other states, '[t]he California statutory scheme does not impose a "proper purpose" requirement' [Citations.] Thus, [petitioner] was not required in his moving papers to articulate a proper purpose for the inspection reasonably related to his interests as a director. He merely needed to show that he was a director and that he made a demand for inspection, which was refused. (§§ 1602, 1603.) [¶] When [petitioner] made that showing, the burden shifted to [respondent] to show why the inspection should be curtailed by 'just and proper conditions.' [Citations.]" (<i>Fowler v. Golden Pac. Bancorp, Inc.</i> (2022) 80 Cal.App.5th 205, 217.)

“[D]ecisional authority establishes that a director’s right to inspect documents is subject to exceptions. [Citation.] While the ‘absolute right’ to inspect documents is the general rule in California, courts have held that the literal meaning of the words of the statute may be disregarded where necessary to avoid absurd results.” (*Fowler, supra*, 80 Cal.App.5th at 218.) For example, in *Chantiles v. Lake Forest II Master Homeowners Assn.* (1995) 37 Cal.App.4th 914, 918, the appeals courts held that the “absolute” right of a homeowners’ association director to access records may be limited to preserve the constitutional rights of members to keep their voting decisions private. Further, courts may limit inspection rights when a director intends to misuse those rights to harm the corporation. (*Havlicek v. Coast-to-Coast Analytical Services, Inc.* (1995) 39 Cal.App.4th 1844, 1852, 1855-56.) When the evidence shows an unfettered inspection will result in a tort against the corporation, the trial court may “exercise its broad discretion under section 1603, subdivision (a) to fashion a protective order imposing just and proper conditions on the inspection.” (*Id.* at p. 1856.) A court may also place restrictions on a director’s access to corporate records when there is evidence the director intends to use the documents to commit a tort against the corporation. (*Saline v. Superior Court* (2002) 100 Cal.App.4th 909, 914.) Further, in *Tritek Telecom, Inc. v. Superior Court* (2009) 169 Cal.App.4th 1385, the court held the director’s inspection rights were limited “because the director’s loyalties [were] divided and documents obtained by a director in his or her capacity as a director could be used to advance the director’s personal interest in obtaining damages against the corporation.” (*Id.* at p. 1391.) The court concluded that “a corporate director does not have the right to access documents that are covered by the attorney-client privilege and were generated in defense of a suit for damages that the director filed against the corporation.” (*Id.* at p. 1392.)

Here, Petitioner has shown that she is currently a member of the board of directors of Monarch Point Homeowners Association. (B. Gleason Decl., ¶ 5.) Petitioner made a demand to Keystone Pacific Property Management LLC (“Keystone”) which is the current managing agent of the Monarch Point Homeowners Association to inspect the records of the corporation, however, Keystone has refused to provide a date and time for director inspection without a directive from the board of directors. (B. Gleason Decl., ¶¶ 6-10.)

The burden shifts to the Respondent to show why the inspection should be curtailed by “just and proper conditions.” Respondent has not opposed the Motion. Therefore, the Motion is GRANTED.

Respondent is ORDERED to permit Petitioner’s Director Inspection of the Monarch Point Homeowners’ Association books and records located at 240 Commerce, Irvine, CA 92602, except for any documents or other information that were generated in defense of BADRI GLEASON’s

		cross-complaint Case No. 30-2022-01241773-UC-BC-CJC, no later than 7 days of the notice of this order. Petitioner to give notice.
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